what survives the great ai shift

journey through ai software models in the market



how the ondean capstone began

originally 10 days

a research thesis refined through analysis and feedback

research

analysis

thesis and testing

revisions

the capstone question

which software companies can thrive as ai changes how customers use and pay for software?

01

scope

select five public software companies with different revenue models

02

method

did research on all companies, compared and tested them

03

output

created a comparative analysis and a thesis i could present and defend

my approach

i compared the business models, compared the evidence, and tested my assumptions

execution

business models

had to learn what made a “good” SaaS company

context

compared the evidence

make a thesis based on evidence and current market demand

judgment

test the thesis

i challenged my assumptions and examined the strongest opposing case.

systems

arrive at conclusion

conclude my work and have dependable evidence to defend it

each conclusion needed evidence i could explain and defend

company set reasoning

how i selected the five

i wanted a good comparison that had different revenue models, enough public disclosure, and consistent comparable criteria

01

software landscape

a broad term looking into saas companies and making a huge list

02

selection criteria

then filtering them out , different economics and enough disclosure to compare the businesses

03

five case studies

coming to conclusion and having enterprise workflows, data, security, restaurants and smb software companies

for example i chose hubspot over datadog because the comparables were better

then 5 companies were chosen

i selected five companies to compare different business models

crm

salesforce

customer workflows

seats plus usage

snow

snowflake

data platform

consumption

crwd

crowdstrike

cybersecurity

subscriptions

tost

toast

restaurant platform

software plus payments

hubs

hubspot

sales and marketing

seats plus credits

the company set was built to test business models, and make accurate comparisons

salesforce / crm

enterprise customer workflows

founded / ipo

1999 / 2004

$125.1b market cap

$42.83b last 12 month revenue

revenue

subscriptions, seats and usage

why i selected it

mature enterprise saas and the transition toward agent-based pricing

ai opportunity and risk

agentforce can add usage revenue. agent adoption can offset seat pressure

snowflake / snow

cloud data platform

founded / ipo

2012 / 2020

$78.3b market cap

$5.03b last 12 month revenue

revenue

compute and storage consumption

why i selected it

consumption demand and a direct test of demand for data infrastructure

ai opportunity and risk

ai workloads can increase consumption. optimization and open formats can limit value capture

crowdstrike / crwd

falcon cybersecurity platform

founded / ipo

2011 / 2019

$171.3b market cap

$5.09b last 12 month revenue

revenue

endpoint and module subscriptions

why i selected it

mission-critical security and a recurring subscription revenue model

ai opportunity and risk

ai can expand protection needs. premium valuation, could be devalued if alternatives arrive

toast / tost

restaurant operating platform

founded / ipo

2011 / 2021

$15.1b market cap

$6.45b last 12 month revenue

revenue

software subscriptions and payment fees

why i selected it

a vertical, transaction-based model embedded in physical restaurant operations

ai opportunity and risk

automation can help restaurant operators. merchant health, payment competition and low margins remain risks

hubspot / hubs

customer platform for marketing, sales and service

founded / ipo

2006 / 2014

$9.3b market cap

$3.30b last 12 month revenue

revenue

subscriptions, seats and credits

why i selected it

smb and mid-market workflows with meaningful exposure to seat based economics

ai opportunity and risk

breeze agents and credits may monetize automated work. workflow substitution remains a risk

how ai changes the demand

the real issue was not who had ai features, it was more of what ai did to the unit of demand

ai can compress

human seats
routine workflows
replaceable production

hubspot salesforce

ai can expand

data workloads
compute usage
security demand

snowflake crowdstrike

ai durability test

i examined corporate filings, business quality, and exposure to ai-driven change

01

retention

do existing customers expand their spending?

02

quality

how strong are growth, margins, and recurring economics?

03

ai exposure

how does ai affect the company?

each lens answers a different part of the question

the ranking of retention

disclosed net retention available at the time of the June analysis

rank	company	retention
1	**snowflake**	126%
2	**crowdstrike**	115%
3	**toast**	109%
4	**hubspot**	103%
N/A	**salesforce**	not disclosed

ranked by disclosed rate.

how i defined quality

the jm quality index. the priorities behind my original qualitative ranking

1 **recurring customer economics**

retention, expansion and how hard the product is to remove

2 **growth and gross margin**

whether demand expands and the revenue has attractive economics

3 **profitability and risks**

losses, cash generation and differences between business models

the ranking of quality

crowdstrike led the first-pass comparison on its security role and recurring economics

1	**crowdstrike**	essential security role and recurring economics
2	**snowflake**	strong retention and growth, with consumption volatility
3	**hubspot**	subscription mix and gross margin
4	**salesforce**	scale and margins, with slower growth
5	**toast**	payments revenue limits comparability with pure software

how i scored ai exposure

lower scores mean lower assessed ai disruption risk

1 **data advantage**
lower scores mean data is harder to replicate

2 **workflow dependence**
lower scores mean the product is more deeply embedded

3 **pricing pressure**
lower scores mean the paid unit holds up as ai automates work

4 **ai effect on demand**
lower scores mean the model is central to ai value creation

jaxi = (data + workflow + pricing + demand) ÷ 4

what the ai exposure scores showed

crowdstrike and snowflake were the two least exposed businesses in this assessment

1)	1.75	crowdstrike	(2 + 2 + 2 + 1) ÷ 4 = 1.75
2)	2.00	snowflake	(3 + 2 + 2 + 1) ÷ 4 = 2.00
3)	2.50	toast	(3 + 2 + 2 + 3) ÷ 4 = 2.50
4)	2.75	salesforce	(2 + 2 + 4 + 3) ÷ 4 = 2.75
5)	3.25	hubspot	(3 + 3 + 4 + 3) ÷ 4 = 3.25

crowdstrike has the lowest ai exposure score in this framework

- a one-point change in one input changes the total by 0.25

crowdstrike looked like the obvious winner

crowdstrike ranked first on quality and had the lowest ai exposure score in my framework.

#1

quality rank

quality

mission critical

security is hard to remove once it becomes part of the operating stack

ai exposure

1st

the lowest in the ai exposure score

the catch

30.23x

the ev is 30 times the annualized revenue

then i had to ask whether the quality was already paid for

the decision narrowed to two

crowdstrike won on current quality, snowflake offered the cleaner expression of the thesis

crwd

crowdstrike

#1 quality

1st ai exposure

30.23x

ev to revenue

strong link to ai security demand

snow

snowflake

#2 quality

2nd ai exposure

13.95x

ev to revenue

126% nrr direct link to data workloads & ai demand

the best company and the best investment were not the same question

snowflake is my winner

not the safest company, not the cheapest stock , but the clearest expression of the infrastructure thesis

snow

snowflake

126%

net revenue retention

13.95x

ev to annualized revenue

2nd

ai exposure score in my framework

more ai workloads can increase long-term demand for snowflake

the capstone

how the capstone developed

every presentation changed something about the work

june 29

initial 10 day capstone

research and analysis

researched five companies, built financial models, compared business quality and ai exposure, and developed my thesis.

july 31

presentation 1

executive exposure

story, design, clarity, and analysis, needed more details and explanation

aug 9

core feedback

method challenge

fixed the format of the slides and made sure they flowed better and explained my process

aug 13

presentation 2

standardize the model

all five companies, fix the criteria and comparables

sep 1

presentation 3

presentation challenge

make it sharp, fix the story line

the capstone is now always evolving

the real output was how i learned to think

01	**research**	know the system by heart
02	**verify**	trace the number
03	**challenge**	argue the other side, don’t be biased
04	**revise**	let feedback change the work
05	**own**	make the judgment yourself

ondean helped build the environment, i had to do the work

timelapse

how revenue multiples changed

june 24, 2026 → monday, october 12, 2026 close

company	share price ($)	enterprise value ($b)	ev / ttm revenue
salesforce	152.76 → 233.92 +53.1%	152.55 → 220.40 +44.5%	3.56x → 5.02x +40.8%
snowflake	225.95 → 360.37 +59.5%	77.64 → 127.08 +63.7%	15.43x → 23.38x +51.6%
crowdstrike	168.26 → 263.01 +56.3%	167.53 → 265.04 +58.2%	32.89x → 49.12x +49.4%
toast	26.02 → 31.32 +20.4%	13.32 → 16.39 +23.0%	2.07x → 2.41x +16.6%
hubspot	180.73 → 223.37 +23.6%	7.57 → 9.80 +29.5%	2.29x → 2.84x +23.9%

why salesforce also performed well

operating evidence

revenue +10.8%

q2 growth and contracted demand support a stronger outlook.

ai monetization

agentforce arr above $1.5b

ai creates another way to get paid beyond seats.

market valuation

3.56x → 5.02x ev / ttm revenue

the multiple rose 40.8%. trailing revenue rose 2.6%.

salesforce can adapt beyond seats.

the thesis is supposed to break if the facts change

these are the conditions that would force me to revisit the call

snowflake

growth and retention break

nrr and workload growth weaken enough that the infrastructure demand thesis stops showing up in customer economics

ai architecture

workloads bypass the layer

ai adoption grows but the incremental data and compute value does not accrue to snowflake

valuation

the price outruns the case

the multiple expands to a level where even good operating results cannot support an attractive return

Final

snowflake remains my clearest expression of the ai infrastructure thesis

i learned to make a call and, defend it in evidence

thank you

questions and discussion

appendix

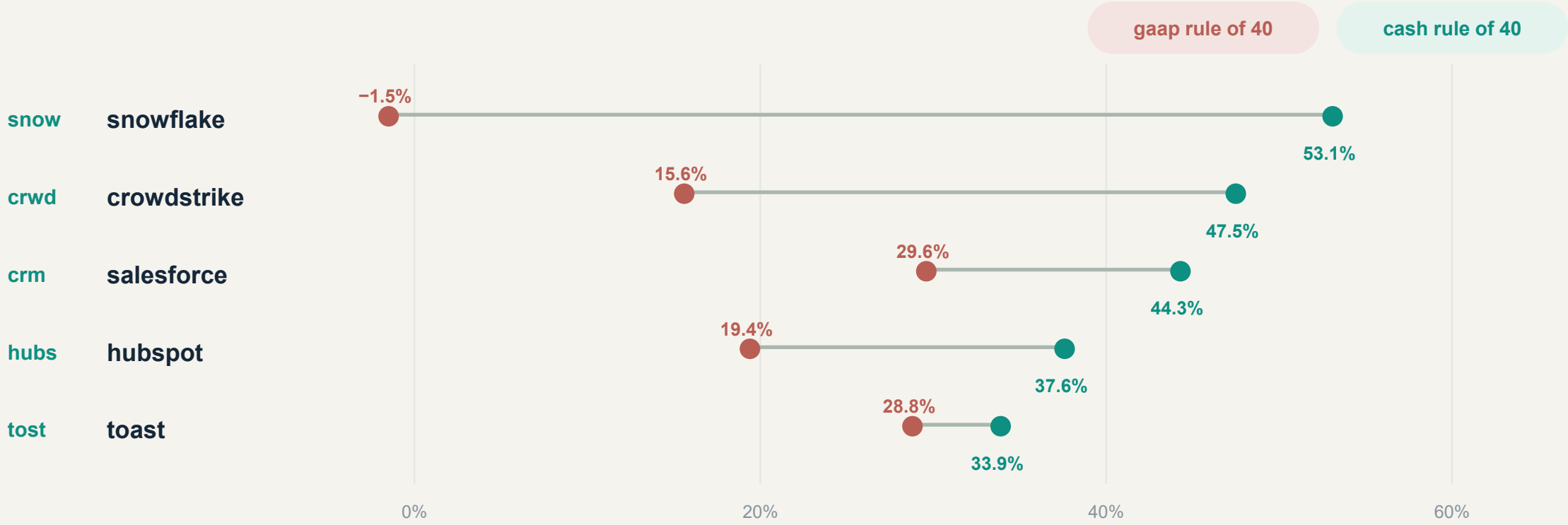
june 18 2026	**reporting workflow build**	ai workflow and quote
june 23 2026	**retention model and research report**	retention model and rule of 40
june 24 2026	**valuation model and ai exposure rubric**	ev multiples and ai exposure
june 25 2026	**investment playbook and thesis stress test**	long snowflake avoid hubspot
june 26 2026	**final bootcamp report and presentation deck**	talking points and source appendix
august 13 2026	**doug and adi meeting summary**	fcf rule of 40 challenge
september 1 2026	**capstone revision**	operating retest and story feedback

the five company comparison in one page

company	durable strength	ai upside	main risk	june ev rev
salesforce	scale and cash generation	ai usage revenue	seat pressure and execution	3.43x
snowflake	data platform consumption	more ai workloads	optimization dilution valuation	13.95x
crowdstrike	mission critical security	more threat and platform demand	premium valuation	30.23x
toast	embedded restaurant platform	merchant productivity	payments mix and merchant health	2.04x
hubspot	distribution and customer platform	agents and credits	workflow substitution	2.15x

using free cash flow

the free cash flow view strengthened snowflake's case



snowflake moved from −1.5% to 53.1%

the lesson was not that one margin is "right" it was that definitions change the ranking